

Projected stockout response

RB-002 | category: inventory | revision 5 | effective 2026-02-20 | owner: Supply Planning

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1. Risk criteria

A SKU is at stockout risk when on-hand falls below safety stock and days-of-cover is under fourteen.

Both conditions must hold. A SKU below safety stock with ample cover is a policy question for planning, not an operational exception.

2. Standard response

The standard response is to raise a replenishment request against the primary supplier at the standard lead time.

Only escalate to expedited freight where cover is under seven days.

3. Duplicate suppression

Always check for in-transit quantity before raising a new request. Duplicate replenishment is the most common error in this workflow, and an in-transit quantity sufficient to restore cover means no new request is warranted.

4. Single-sourced materials

Where the SKU is single-sourced, notify planning even if cover is adequate, because recovery time is longer.

5. Authority

Inventory positions are internal records. A replenishment request commits spend and a delivery slot, so automation may prepare and recommend the request but a human must release it. This is not a statement about confidence in the recommendation; it is a statement about who owns the commitment.